

TOP VC DEALS

● FUNDING CONSTRAINTS HIT ALL STAGES; LATE-STAGE HIT HARDEST

COMPANY	SECTOR	INVESTORS	AMOUNT (\$ MN)	DATE
Lenskart	E-Commerce (Eyewear)	ADIA	500	03/23
Udaan	E-Commerce (Marketplace - B2B)	M&G Investments, Lightspeed Ventures, DST Global	340	12/23
Builder.ai	Enterprise Software (Web & App Development)	M12, Qatar Investment Authority, Iconiq Capital, Jungle Ventures, Insight Venture Partners	250	05/23
Zepto	Mobile App (Consumer Shopping - Groceries)	StepStone Group, Goodwater Capital, Glade Brook Capital, Nexus Venture Partners, Others	231	08/23
Perfios Software	Enterprise Software (Analytics - Credit Assessment)	Kedaara Capital, Bessemer	229	09/23
Battery Smart	Infrastructure (Battery Swapping Station - Electric)	Stride Ventures, Blume Ventures, Tiger Global	191	03/23

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million rounds,” says Rahul Chandra, Founder & MD of Arkam Ventures, adding that investors with large deployable pools are waiting for firms in that range. Inflexor’s Mazumdar concurs, noting that this phase unveils quality opportunities for investors. “It’s a buyer’s market, giving us (investors) a chance to invest in high-quality companies at potentially good prices.”

However, investors are treading cautiously, even as the deployable capital at their disposal is at record levels. According to research firm Preqin, 70 India-focussed PE and VC houses closed funds in 2022, raising an aggregate \$8.5 billion, which is the highest-ever annual fundraising by value. In total, PE/VC dry powder increased to \$15.6 billion at the end of 2022 from \$11.1 billion at the end of 2021. Though only a fraction of the previous year, a handful of India-focussed VCs—including Epiq Capital, RTP Global, Nexus Ventures and Vertex Ventures—closed funds in 2023, adding to the existing dry power.

“The true marker of valuation has shifted from being growth-focussed to enabling profitability. At Indian Venture and Alternate Capital Association (IVCA), we identify such start-ups to be ‘performicorns’. Their robust foundational strengths, resilient unit economics, and clearly defined road map to profitability... will enable them to tap into the record dry powder,” says IVCA President Rajat Tandon.

He foresees a substantial upswing in funding activity in 2024, particularly coinciding with the upcoming elections in India and several other countries globally. “Historically, election years can introduce a level of caution... However, the early signals from recent state elections in India suggest a potential for stability.”

The ongoing market correction for start-up valuations is anticipated



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to extend into 2024, impacting various sectors. Unicorns such as Byju’s, Swiggy, Ola, Pine Labs, PharmEasy, and Meesho have seen valuation markdowns by investors. The evolving landscape will indeed influence investors as they reconsider and revamp their strategic approaches. “For VCs, the impact [of shrinking portfolio valuation] is evident in a decline in IPOs and increased caution in potential mergers and acquisitions, resulting in extended investment holding periods. This has prompted a reorientation of strategies, emphasising a shift from late-stage to early-stage investments,” says Incubate’s Murakami.

Nevertheless, founders continue to embrace optimism and confidence in the potential of this